

Multiple Choice

1. **Answer:** A

Options: A) Supply public goods using tax dollars; B) Initiate a lottery system for the usage of public goods; C) Enact stricter antitrust legislation; D) Increase the prices of public goods; E) Allow private companies to supply public goods

Note: Correct option: A - Supply public goods using tax dollars

2. **Answer:** B

Options: A) the opportunity cost of not pursuing a given course of action.; B) the difference between unlimited wants and limited economic resources.; C) the difference between unlimited resources and unlimited economic wants.; D) the opportunity cost of pursuing a given course of action.; E) the difference between the total benefit of an action and the total cost of that action.

Note: Correct option: B - the difference between unlimited wants and limited economic resources.

3. **Answer:** A

Options: A) costs will tend to rise; B) costs will decrease; C) costs are not affected by entry of new firms; D) costs will remain the same

Note: Correct option: A - costs will tend to rise

4. **Answer:** D

Options: A) Use a logarithmic functional form instead of a linear one; B) Add lags of the variables on the right hand side of the regression model; C) Estimate the model in first differenced form; D) Remove any large outliers from the data.

Note: Correct option: D - Remove any large outliers from the data.

5. **Answer:** E

Options: A) Changes in the market demand and supply; B) Changes in the short-term operational efficiency of the company; C) Fluctuations in the stock market affecting the company's capital valuation; D) Changes in the overall economic condition; E) Changes in the long-run cost per unit of output due to variations in the prices of inputs

Note: Correct option: E - Changes in the long-run cost per unit of output due to variations in the prices of inputs

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'appreciate'.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'To maintain a minimum standard of living for workers'.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** 99% of the time in repeated samples, the interval would contain the estimated value of the null hypothesis. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** The equilibrium price will fall and the equilibrium quantity will remain the same.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key